THE
ANNOUNCEMENT ROOM

EQUITY RESEARCH FOR BUSY INVESTORS. WHAT HAPPENED. WHY IT MATTERS. WHAT COMES NEXT.

DYNO NOBEL LIMITED (ASX: DNL) FY26 RESULTS, YEAR TO 30 SEPTEMBER 2026 · A$

Dyno Nobel hit its FY26 earnings target, but a heavier balance sheet and a tighter FY27 outlook set the debate

Dyno Nobel reported FY26 explosives underlying EBIT of $485.1m, up 12%, and finished its exit from fertilisers. Net debt rose to $1,503.9m, operating cash flow halved, and the final dividend was cut. FY27 guidance of $515m to $555m is a company expectation, not a result.

$485.1m

Explosives underlying EBIT

Up 12% from $434m in FY25 (FY25 re-based by the company). Excludes individually material items (IMIs)

2.1x

Net debt / EBITDA

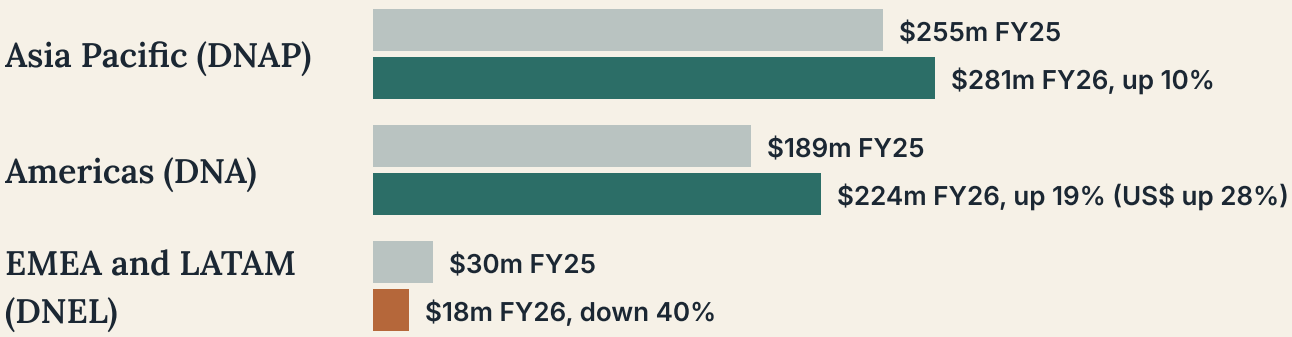
Up from 1.4x. Net debt $1,503.9m vs $1,180.5m, up 27%

$515-555m

FY27 EBIT guidance

About +10% at the midpoint vs FY26 (TAR calculation)

WHERE FY26 EXPLOSIVES EBIT CAME FROM ($M, FY25 VS FY26)



DNAP and DNA both posted record results. DNEL was hit by weaker European conditions, shipping disruption from the Middle East conflict and bad weather in Chile. Divisions total $523m; corporate costs of about $38m bring it to $485.1m (TAR calculation).

FROM UNDERLYING TO STATUTORY PROFIT

NPAT excluding IMIs: $331m (FY25: $423m, down 21.8%).

Statutory NPAT: $66.1m (FY25: loss of $53.2m).

Group EBIT ex IMIs fell to $504m from $714m because Fertilisers earnings no longer sit in the group. EPS ex IMIs was 18.8 cents (FY25: 22.8 cents).

IMIs: $264.8m after tax

Phosphate Hill impairment, site exit and loss on sale: $155.9m

Impairment of QPM-related prepayments and receivables: $69.5m

Transformation costs $17.3m. IPF Distribution and Gibson Island land: $22.1m

WHAT THE COMPANY DOES

Dyno Nobel makes commercial explosives and blasting systems for mining, quarrying and construction customers. Since selling Phosphate Hill for a nominal $1 on 30 June 2026, it is a pure-play explosives business.

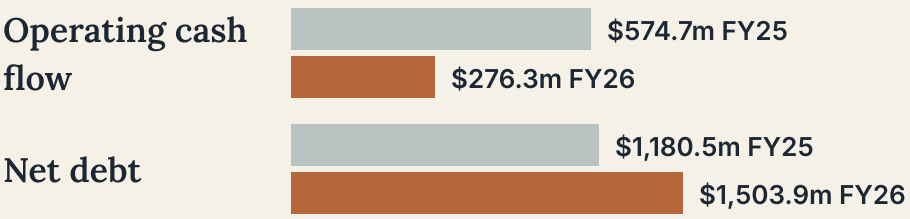
Sources: Dyno Nobel FY26 Results Announcement, FY26 Results Presentation, and Appendix 4E and FY26 Financial Report (all released 9 November 2026). Underlying figures exclude IMIs and use the company's re-based FY25 explosives earnings. TAR calculations use reported figures. Share-price data is not included.

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WHY IT MATTERS AND WHAT COMES NEXT

Earnings grew, but cash and leverage moved the other way

CASH AND DEBT ($M)



Operating cash flow fell 52%. Cash conversion (operating cash flow over EBITDA ex IMIs) was 35.5% vs 56.8%. A trade working capital outflow of $205.9m was one drag. Cash on hand was $107.6m vs $647.2m.

CAPITAL MANAGEMENT

Final dividend 5.0 cents, 50% franked (FY25 final: 9.5 cents, unfranked). Full year 9.6 cents vs 11.9 cents. Payout ratio 50%. Record date 4 December, paid 18 December 2026.

Buyback ceased in September 2026 after $574.4m was spent since July 2024: 190.9m shares at an average of $3.01.

Leverage target range widened to 1.75x-2.25x from 1.5x-2.0x. The company expects to sit around the top end in FY27.

FY27 COMPANY EXPECTATIONS (NOT RESULTS)

Underlying EBIT about $515m-$555m, split about 40% first half and 60% second half. Against $485.1m, that is +6.2% to +14.4%, or +10.3% at the midpoint (TAR calculation). FY26 growth was 12%.

The presentation shows this figure before an expected $25m hit from the QNP (first half) and Cheyenne (second half) turnarounds.

Capex $370m-$420m (continuing operations), against $282.2m in FY26 explosives capex. Includes about US$40m for the Cheyenne turnaround.

Transformation: $185m of EBIT delivered, a 70% FY26 exit run rate. The company targets 85%-95% of the roughly $300m uplift by the end of FY27. FY28 ($600m) and FY31 ($800m) EBIT ambitions are not guidance.

Energetics: a US$581m IMX project was awarded to the Nitradyn JV, to be built at Graham, Kentucky. With the earlier TNT project, government-funded awards total US$1bn. The company expects earnings benefits from late 2028.

QPM: the Moranbah gas supplier entered voluntary administration in July 2026. Dyno Nobel impaired $99.3m pre-tax. The report says supply was stable through FY26, no immediate risks to supply were identified and the company holds security over the gas reserves.

WHAT TO WATCH

Leverage
2.1x is inside the new 1.75x-2.25x range but above the old 2.0x ceiling, with capex rising in FY27.

Cash conversion
Whether operating cash flow recovers from 35.5% as working capital settles.

Turnaround timing
The 40/60 earnings split and the $25m turnaround impact at QNP and Cheyenne.

Transformation delivery
Progress towards the 85%-95% exit run rate and Europe's recovery at DNEL.

TAR TAKE

Dyno Nobel delivered record results in Asia Pacific and the Americas, closed out fertilisers and secured a large energetics contract. Against that, the FY27 guidance midpoint implies slightly slower growth than FY26, operating cash flow halved, net debt rose 27% and the dividend was cut. The next tests are whether cash conversion improves, whether leverage stays within range through a heavier capex year, and whether the transformation reaches its exit run rate. TAR interpretation, not a forecast.

Sources: Dyno Nobel FY26 Results Announcement, FY26 Results Presentation, and Appendix 4E and FY26 Financial Report (9 November 2026). Guidance, ambitions and expectations are company statements, not results. Turnaround, capex and leverage-definition details are from the presentation. TAR calculations use reported figures. Share-price data is not included.

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